

Table 11.4

<i>TIPS and Treasury Returns Mar 1997 to Dec 2011</i>						
	<i>TIPS</i>	<i>Tsys</i>	<i>Tsys-TIPS</i>	<i>Monthly Inflation</i>	<i>TIPS-Infl</i>	<i>Tsys-Infl</i>
Mean	7.02	6.24	-0.78	2.35	4.67	3.89
Stdev	5.89	4.70	4.65	1.33	5.90	5.16
Mean/Stdev	1.19	1.33	-0.17			
Correlations with						
Tsys	64%					
Inflation	10%	-22%	-35%			

<i>TIPS and Treasury Returns Jul 2007 to Dec 2011</i>						
	<i>TIPS</i>	<i>Tsys</i>	<i>Tsys-TIPS</i>	<i>Monthly Inflation</i>	<i>TIPS-Infl</i>	<i>Tsys-Infl</i>
Mean	8.44	7.25	-1.65	1.79	6.65	5.46
Stdev	7.71	5.17	7.10	1.71	7.63	6.02
Mean/Stdev	1.09	1.40	-0.23			
Correlations with						
Tsys	45%					
Inflation	16%	-37%	-44%			

a correlation between TIPS and inflation of only 16%. To understand why TIPS covary so little with inflation even though they are indexed to inflation, let us examine the different factors driving real bond returns.

4.3. REAL YIELDS

Real yields are surprisingly volatile. I say “surprisingly” because before real bonds were issued, many economists believed that real yields set in traded markets would be like the real interest rates theories in textbooks at that time. In simple economic models, real rates should reflect demographic trends, the growth of economic output, savers’ time preferences and attitudes toward risk, and the opportunity costs of firms investing in real production.¹² All of these change

¹² Ramsey (1928) was the first to characterize the real rate as a function of consumers’ preferences and output growth. Another early contribution was Fisher (1930), who derived that the real interest rate should reflect the marginal benefits of real firm investments.